Optimal Dynamic Pricing With Preferences for Novelty

Tate Mason

The University of Georgia

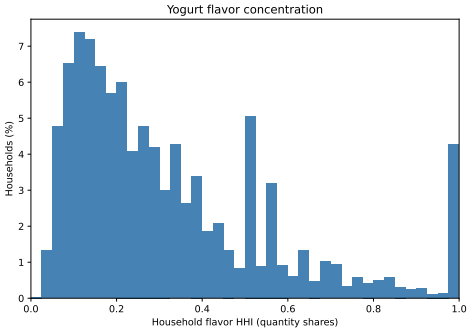
November 11, 2026

Motivation

- Across repeated interactions with a firm, consumer preferences may evolve
- Novelty, habit, boredom all contribute to consumption patterns varying across time
- Allows for targeted discounting based on past choices and preference dynamics
- Targeted discounts allow firms to steer consumers toward particular products.

What is Novelty

- Some consumers gain utility from a purchase set made up of different varieties of the same product
- In my yogurt market setting:
  - Households purchase ≈ 11 distinct flavors over the observed sample
    - $\approx 38\%$ of weeks involve mixed purchases
  - 0.32 mean household flavor concentration



Research Question and Preview of Results

How can firms price discriminate via consumer preferences for novelty and habit and how much is information about these preferences worth?

- Access to information on consumer types yields theoretical revenue gains up to \$0.14 per consumer.
- Estimated preferences for novelty are very heterogeneous but negative on average.
- Consumers have an implied willingness-to-pay of \$1.73 to contribute to habitual consumption but would need to be subsidized \$0.83 to switch products.

Literature

Dynamic Targeting:

- Dubé (2008), Anand & Shachar (2009), Karle & Reisinger (2024), Durrmeyer, Fournel, Samano (2026)
- Contribution: Firm pricing based off of novelty with varying levels of information on consumers.

Estimating preferences for novelty:

- McAllister (1982), Lattin (1987), Chintagunta (1999), Ackerberg (2003), Dubé (2004), Dubé et. al (2021)
- Contribution: Recovering a distribution for preferences over novelty in consumption to be used in a pricing exercise

Pricing with State Dependence

- Klemperer (198x), Dubé et. al (2022),GO THROUGH ZOTERO
- Contribution: Modeling novelty rather than habit as driver for differential pricing.

Supply Setting

- Monopolistic firm producing a single product j
- A consumer is born into the world with a type and an initial purchase state:

  Consumer Type

  $$r = \{H, L\}$$

  Initial Purchase

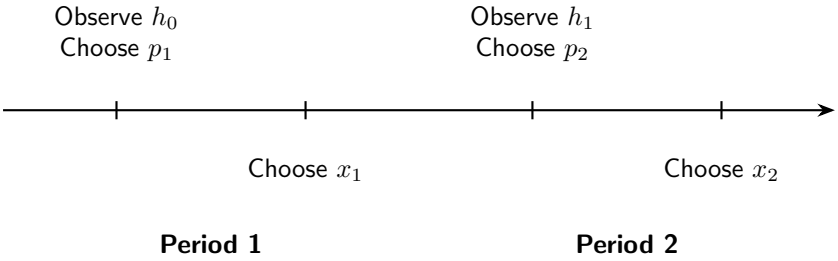
  $$h_0 = \{0, j\}$$

  Observed First Period Purchase

  $$h_1 = \{0, j\}$$

- Consumers live for two periods, purchasing the inside good or opting for the outside good in each period
- The firm knows h_t & γ_r, setting prices to individual consumers by type and history

Timing of the Model



Consumer's Problem

$$V_{jt}^{inside} = \underbrace{\beta}_{\text{Constant}} + \overbrace{\gamma_r \mathbb{1}\{h_t = 0\}}^{\text{Utilty from Switching}} - \underbrace{\alpha p_t(h_t)}_{\text{Price Disutility}}, \quad V_{0t}^{Outside} = \underbrace{\gamma_r \mathbb{1}\{h_t = j\}}_{\text{Utility from Switching}}$$

$$v_t(x) = V_{jt}^{inside} - V_{0t}^{outside} = \beta + \gamma_r \underbrace{[\mathbb{1}\{h_t = 0\} - \mathbb{1}\{h_t = j\}]}_{q(h_t)} - \alpha p_t(h_t)$$

- Consumers are myopic: they choose using current utility; the firm values both periods.
- Prices and switching utility depend on history $h_t = x_{t-1}$
- If $\mathbb{1}\{h_t = j\}$, $\gamma_r < 0$, or they would experience disutility from switching and prefer to continue consuming j.

Firm's Problem

$$\pi_t(h) = \max_{p_{tr}(h_t)} s_t(h_t)[p_{tr}(h_t) - c]$$

$$\Pi(h) = s_1(h_0) \underbrace{(p_{1r}(h0) - c)}_{\text{Margin in Period 1}} + \underbrace{\delta\{s_1(h_0)\pi_2(j) + (1 - s_1(h_0))\pi_2(0)\}}_{\text{Continuation Value}}$$

- Firm profits are comprised of period one margins given initial state and the expected value of that consumer given their period one choice

First Period Optimization

$$\frac{d\Pi}{dp_1(h_0)} = s_1 + \frac{\partial}{\partial p_1(h_0)} s_1(h_0)[p_1(h_0) - c + \delta(\pi_2(j) - \pi_2(0))]$$

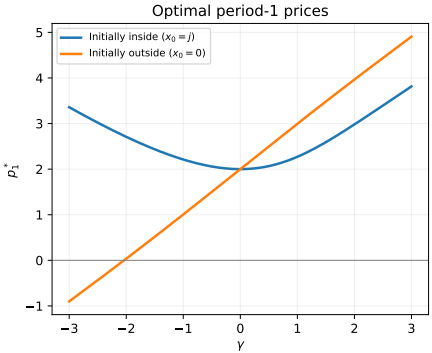
$$p_1^*(h_0) = c + \underbrace{\frac{1}{\alpha(1 - s_1^*(h_0))}}_{\text{Static markup}} - \overbrace{\delta(\pi_2(j) - \pi_2(0))}^{\text{Dynamic tradeoff between profit states}}$$

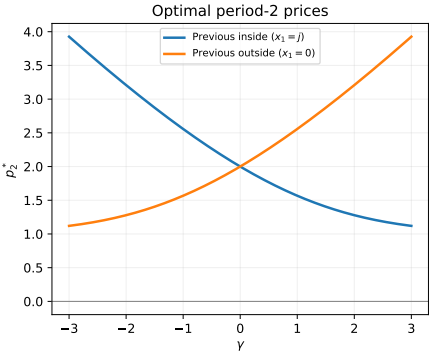
$$\Pi^*(h_t) = \delta\pi_2(0) + \frac{s_1^*(h_0)}{\alpha(1 - s_1^*(h_0))}$$

- When buying today raises future profit, the firm lowers its initial margin to acquire the consumer.

▸ Terminal FOC ▸ Comparative statics ▸ Elasticities

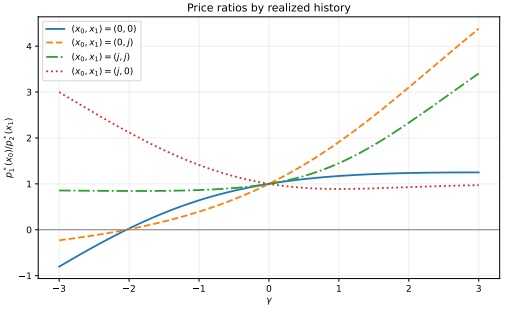
Optimal Prices

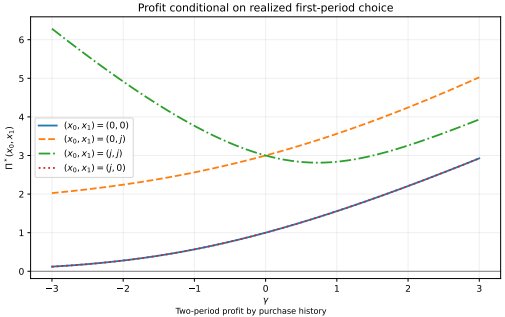




Specification Numerical table

Optimal Price Ratios and Profit





$\delta = 1$: no discounting. Flavor is j; outside is everything except that flavor.

Optimal prices Numerical table

Two Pricing Regimes: The Same Consumer Types

Household-specific: type observed

- Observe type γ_r and initial history h_0.
- Choose $p_{1r}(h_0)$ and then $p_{2r}(h_1)$.

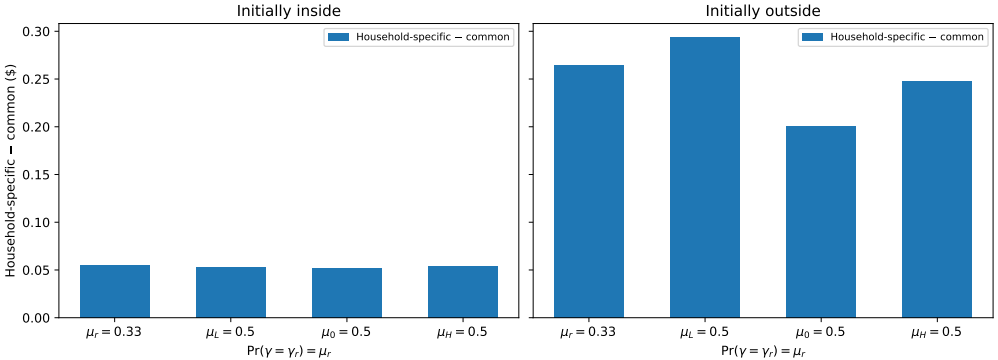
Common: type hidden

- Observe history and know type weights μ_r.
- One offer across types with the same history.
- Fixed beliefs restrict learning from purchases.

Consumers keep their type in both periods. Evaluate both policies on these same persistent types; the gain is household-specific minus common revenue.

$\gamma_r \in \{-1.25, 0, 1.25\}$; equal weights $1/3$ or permutations of $(.50, .25, .25)$. In all cases, h_0 and subsequent purchases are observed; $\delta = 1$, $c = 0$.

Theory: Revenue Gain from Observing Type



Expected revenue per consumer, evaluated under the same persistent types. Initially outside means outside the focal flavor; it is an initial state, not a population share.

Profit levels Price paths Revenue evaluation

Data Sources

Nielsen HomeScan

- Provides household level purchase data
- Covers years 2006-2015
- Products chosen, quantity chosen, timing of trips

Nielsen RetailScan

- Provides store level product data
- For specified product category: prices, markets, product attributes

Sample Selection

- Must be single-person household
- Must be seen at least 2 times
- Purchases must be made at Nielsen store (prices available)
- Flavor attribute must be present

Activity

Sample Statistics: Demographics

Table: Summary statistics: full sample and yogurt sample

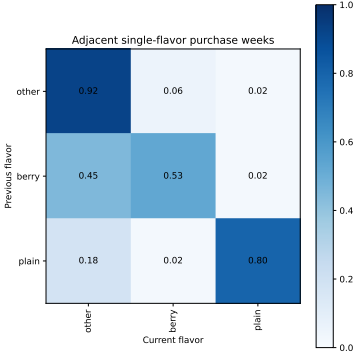
	Full sample	Yogurt sample
Sample and purchase activity		
Households	37,827	15,106
Mean observed panel years	3.96	3.16
Mean trips per approximate observed week	2.27	0.11
Mean distinct UPCs per household	1,178.31	13.89
Mean head age	45-49	50-54
Mean household income	$30,000-$35,000	$35,000-$39,999
Race: White (%)	80.33	81.58
Race: Black (%)	12.81	12.15
Race: Asian (%)	1.57	1.57
Race: Other (%)	2.19	2.11
Hispanic (%)	3.10	2.59

Switching Stats

Table: Matched yogurt sample: purchase dynamics

metric	value
Matched households	15106.00
Observed yogurt purchase weeks	282648.00
Mean flavors bought per household	1.93
Mean household flavor HHI (0 to 1)	0.78
Mixed-flavor weeks (%)	17.45
Weeks above seven packages (%)	21.72
Eligible adjacent single-flavor week pairs	48166.00
Switch rate in eligible pairs (%)	12.85
Mean single-flavor spell length (consecutive calendar weeks)	1.22
Median gap between purchase weeks	3.00

Persistence Across Aggregated Flavor Groups



Plain repeats in approximately 80% of eligible transitions, versus 53% for berry.

Estimate Heterogeneity in Price, Novelty and Habit

- Weekly choices: other yogurt, berry, plain, or nonpurchase.
- Households differ in price sensitivity and responses to recent and longer purchase histories.
- Flavor intercepts are common across households and differ across flavors.

Recover the distribution of switching preferences, then use it in the two-period pricing model.

Demand Model

$$U_{ijt} = \beta_0 + \beta_j X_{jt} + \gamma_i N_{ijt} + \phi_i H_{ijt} + \alpha_i p_{jt} + \varepsilon_{ijt}, \qquad U_{i0t} = \varepsilon_{i0t}.$$

Household i's share of yogurt purchases in flavor j in week t is

$$w_{ijt} = \frac{y_{ijt}}{\sum_k y_{ikt}}.$$

Novelty

$$N_{ijt} = \begin{cases} 1 - w_{ij,t-1}, & \text{if yogurt bought in } t-1, \\ 0, & \text{otherwise.} \end{cases}$$

Habit

$$H_{ijt} = \frac{1}{n_{it}} \sum_{s \in \mathcal{O}_i,\, s<t} w_{ijs}.$$

- $\mathcal{O}_i$: observed purchase weeks; n_{it} counts prior purchase weeks. Empty history gives $H_{ijt} = 0$.

Average-history specification

Separating Recent and Longer Purchase History

- **Novelty:** changes in last week's basket.
- **Habit:** differences in earlier purchase histories, even with the same last-week basket.
- **Simplifying assumption:** common flavor tastes; heterogeneous novelty, habit, and price sensitivity.

Estimation Choices

Purchase occasions

- Count packages within observed yogurt-purchase weeks; calendar weeks without purchases are not added.
- Impute outside choices as $\max(7 - Q_{it}, 0)$, so each retained week contributes $\max(7, Q_{it})$ choices.

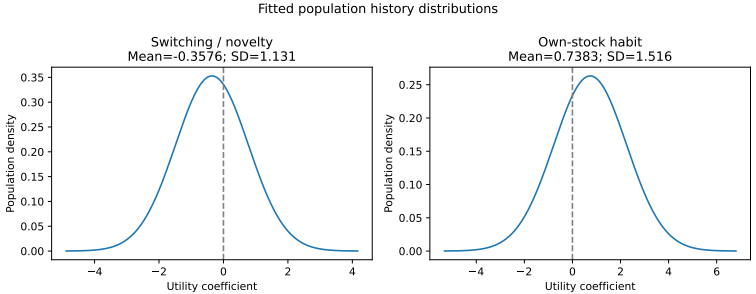
Persistent household heterogeneity

$$\gamma_i \sim \mathcal{N}(\mu_\gamma, \sigma_\gamma^2), \quad \phi_i \sim \mathcal{N}(\mu_\phi, \sigma_\phi^2), \quad \alpha_i = -\exp(\mu_{\log a} + \sigma_{\log a}\nu_{\alpha i}).$$

- Independent coefficient draws, held fixed across weeks; $\nu_{\alpha i} \sim \mathcal{N}(0, 1)$.
- Simulated maximum likelihood integrates over household types using 128 draws.

Likelihood Fit summary Probabilities Price sensitivity

Distributions



- Consumers generally resist switching, with substantial heterogeneity.
- Habit preference also varies substantially across consumers.

▸ Estimates ▸ Discussion

Implied Willingness to Pay

Utility term	Mean WTP	Population SD
Inside constant β_0	1.6235	1.5237
Berry vs. other	-0.6796	0.6379
Plain vs. other	0.0138	0.0130
Novelty	-0.8381	3.7183
Habit	1.7302	5.1354

- Novelty WTP refers to a one-unit increase in N, holding other utility terms fixed; it is not the total compensation for a switch.
- Habit WTP refers to a one-unit increase in H. Population SD measures heterogeneity, not estimation uncertainty.

▸ WTP interpretation

Quantifying the Theory with Estimated Preferences

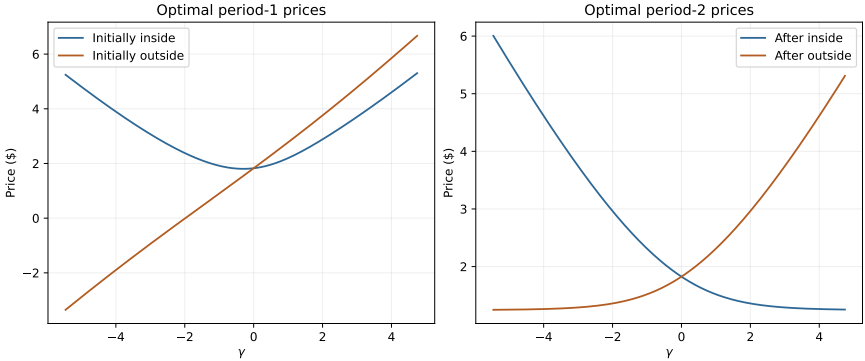
$$v_t = \beta_f + \alpha p_t + \gamma\big[\mathbb{1}\{h_t = 0\} - \mathbb{1}\{h_t = j\}\big].$$

- Plain versus not plain: use the estimated novelty distribution, mean price coefficient and plain intercept; hold habit at zero.
- Informed prices condition on γ; common prices use its distribution with fixed beliefs. Both adapt terminal prices to purchase history.
- Evaluate both policies on the same persistent types over two periods.

This is an illustrative quantification exercise, not meant to be interpreted as predictive.

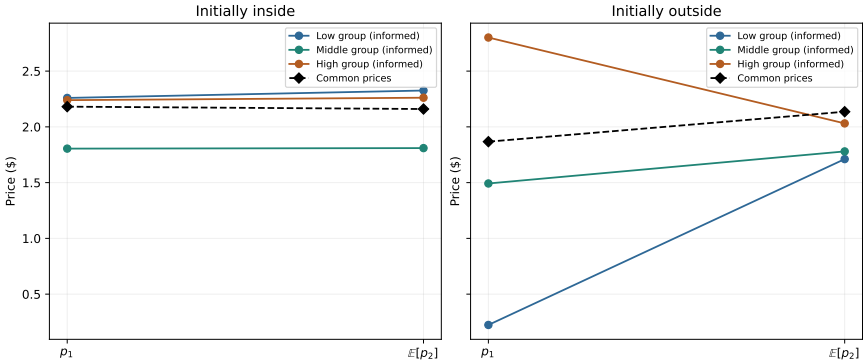
▸ Parameter mapping

Quantified Theory: Optimal Prices across Novelty Types



Same model and layout as supply, using estimated preference parameters. There are exactly two terminal prices, after plain and after not plain.

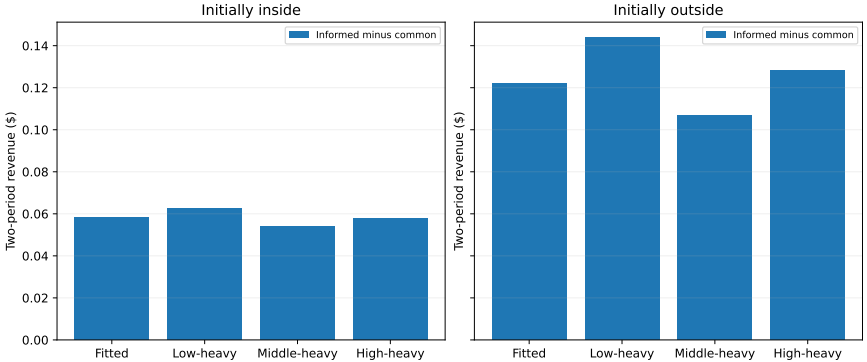
Quantified Theory: Informed and Common Price Paths



Solid paths average informed prices within novelty groups; dashed paths show common prices. Both regimes choose the terminal price after observing the first-period binary choice.

Berry Other

Knowing Novelty Adds More Revenue for Initially Outside Consumers



Informed minus common revenue, evaluated on the same persistent types. Prior sensitivities use one novelty group with probability one-half.

▸ Revenue table ▸ Distribution weights

What Does Knowing Novelty Change?

- Estimated novelty preferences are negative on average and heterogeneous; average habit preference is positive.
- In the fitted-distribution illustration, information adds about 3.6% for initially inside and 12.5% for initially outside consumers.
- These magnitudes depend on the binary parameter mapping, exogenous-price assumption, and fixed-belief benchmark.

Preferences for novelty and habit create opportunities for price discrimination.

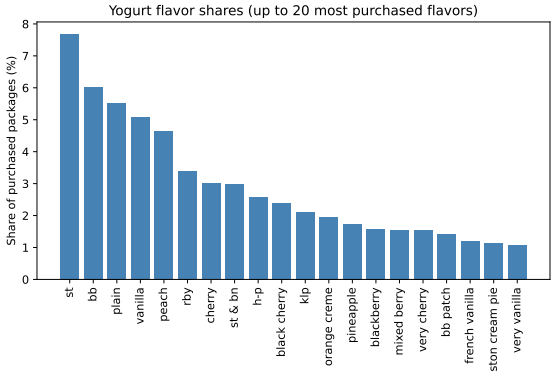
Sample Statistics: Purchase Activity

	Full sample	Yogurt sample
Households	37,827	15,106
Observed panel years	3.96	3.16
Trips per household	493.13	20.26
Trips per observed week (approx.)	2.27	0.11
Distinct UPCs per household	1,178.31	13.89
Purchase lines per household	3,397.64	45.15
Packages per household	4,669.07	93.77

All statistics except household counts are means.

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Flavor Popularity



New Demand Fit: Three Flavors, Average History

Specification	Three flavors; no price controls
Habit history	Average prior flavor shares
Households	15,105
Household-week observations	281,695
Negative log likelihood	1,590,033.03
AIC	3,180,084.06
BIC	3,180,152.67
Optimizer	Converged

November 11 uncontrolled fit; outside count $\max(7 - Q, 0)$ within retained purchase weeks. Novelty uses the preceding calendar week's flavor shares; zero when no yogurt was purchased.

Back to Estimation

Demand Estimates and Uncertainty

Parameter	Estimate	SE	95% interval
Inside constant β_0	0.693	0.005	[0.683, 0.703]
Berry vs. other	-0.290	0.004	[-0.298, -0.282]
Plain vs. other	0.006	0.006	[-0.006, 0.018]
Mean log price magnitude $\mu_{\log a}$	-0.536	0.006	[-0.548, -0.524]
Mean novelty μ_γ	-0.358	0.013	[-0.383, -0.332]
Mean habit μ_ϕ	0.738	0.010	[0.719, 0.757]
SD log price magnitude $\sigma_{\log a}$	0.795	0.005	[0.785, 0.805]
SD novelty σ_γ	1.131	0.013	[1.106, 1.156]
SD habit σ_ϕ	1.516	0.010	[1.496, 1.536]

Standard errors from the observed-information Hessian; normal 95% intervals. Standard deviations describe population heterogeneity, not estimation uncertainty.

Back to Distributions

What the New Demand Estimates Say

Preference	Mean	Population SD	Share positive
Novelty	-0.358	1.131	37.6%
Habit	0.738	1.516	68.7%

- Most consumers dislike switching; a substantial minority prefer novelty.
- Habit preference is positive on average, with wide variation across consumers.
- Berry has a negative flavor intercept relative to other. Plain's interval includes zero.

Shares are implied by fitted population normal distributions, not counts of classified households.

Back to Distributions

Price Sensitivity: From Log Parameters to Dollar Prices

$$\alpha_i = -\exp(\mu_{\log a} + \sigma_{\log a}\nu_{\alpha i}), \qquad \nu_{\alpha i} \sim \mathcal{N}(0,1).$$

$$E[\alpha_i] = -\exp(\mu_{\log a} + \tfrac{1}{2}\sigma^2_{\log a}).$$

Population mean price coefficient: $E[\alpha_i] = -0.803$.
Population standard deviation: $\mathrm{SD}(\alpha_i) = 0.753$.

- All consumers have a negative price coefficient.
- The quantified theory uses the population mean coefficient in both pricing regimes.

Back to Estimation

Interpreting Willingness to Pay

$$\text{WTP}_{\gamma,i} = \frac{\gamma_i}{-\alpha_i}, \qquad \text{WTP}_{\phi,i} = \frac{\phi_i}{-\alpha_i}.$$

- Novelty: mean WTP is $-\$0.84$ per unit of the novelty predictor.
- Habit: mean WTP is $\$1.73$ for a unit increase in the prior average flavor share.
- A 10-percentage-point increase in average share corresponds to $\$0.17$ at the mean WTP.

Average individual WTP ratios. They need not equal a ratio of mean coefficients.

Back to WTP

Average History: Fitted Specification

$$H_{ijt}^{\text{avg}} = \frac{1}{n_{it}} \sum_{s \in \mathcal{O}_i,\, s<t} w_{ijs}, \qquad n_{it} = \#\{s \in \mathcal{O}_i : s < t\}.$$

- $\mathcal{O}_i$: observed yogurt-purchase weeks; n_{it} counts prior occasions.
- Empty history gives zero. Unobserved calendar weeks do not enter the denominator.
- Current purchases affect the next state only.

Displayed demand estimates use the November 11 three-flavor average-history fit. The pricing illustration holds habit at its reference level.

Demand Probabilities and the Household Likelihood

$$P_{ijt}(\nu_i) = \frac{\exp(V_{ijt}(\nu_i))}{1 + \sum_k \exp(V_{ikt}(\nu_i))}, \qquad P_{i0t}(\nu_i) = \frac{1}{1 + \sum_k \exp(V_{ikt}(\nu_i))}.$$

$$L_i(\theta) = \int \prod_t P(y_{it} \mid \nu_i, \theta)\, f_{\mathcal{N}}(\nu_i)\, d\nu_i.$$

- Within a household-week, observed counts follow the multinomial choice probabilities.
- Integrate the product over time: household tastes persist across observed weeks.
- Taste heterogeneity and transitory logit shocks play different roles.

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Pricing Simulations Specification

Parameter	Description	Value
β	Inside-good intercept	2
α	Price sensitivity	1
δ	Discount factor (no discounting)	1
c	Marginal cost	0
γ	Switching preference	$[-3, 3]$
Initial Consumption State		$h_0 \in \{0, j\}$
Feasible Prices		$p_t(h) \in \mathbb{R}$

- Allow for negative pricing
- Firm has knowledge of both type and history, allowing for targeted pricing
- Four consumption histories possible $(h_0, h_1) \in \{(0,0), (0,j), (j,j), (j,0)\}$

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Shares and Elasticities

$$s_t(h) = \frac{e^{v_t(h)}}{1 + e^{v_t(h)}}, \;\; s_{0t}(h) = 1 - s_t(h)$$

$$\frac{\partial s_t(h)}{\partial p_t(h)} = -\alpha s_t(h)(1 - s_t(h))$$

$$\frac{\partial s_t(h)}{\partial \gamma} = q(h) s_t(h)(1 - s_t(h))$$

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Optimal Terminal Price and Profit

$$\frac{\partial \pi_2(h_1)}{\partial p_2(h_1)} = s_2(h_1) + (p_2 - c)\frac{\partial s_2(h_1)}{\partial p_2(h_1)}$$

$$p_2^*(h_1) = c + \frac{1}{\alpha(1 - s_2^*(h_1))}$$

$$\pi_2^*(p_2^*(h_1); h_1) = \frac{s_2^*(h_1)}{\alpha(1 - s_2^*(h_1))}$$

- Optimal period two price is cost plus a demand markup term
- Period two profit at optimal prices is the odds of purchase, scaled by the inverse price sensitivity

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Optimal Profit Given Switching Type

$$\frac{d\Pi}{d\gamma} = \frac{q(h)s_1^*(h) - \delta s_1^*(h)s_2^*(j) + \delta(1 - s_1^*(h))s_2^*(0)}{\alpha}$$

- Initially outside: optimal profit increases with the switching preference.
- Initially inside: switching changes both retention and the value of a future return; the net effect can change sign.

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Theory: Numerical Price and Profit Benchmarks

x_0	γ	p_1^*	$p_2^*(j)$	$p_2^*(0)$	Π^*	$\Pi^{*\prime}$
j	-3	3.358	3.926	1.120	5.284	-1.445
j	-1	2.211	2.557	1.567	2.768	-0.993
j	0	2.000	2.000	2.000	2.000	-0.500
j	1	2.271	1.567	2.557	1.838	0.177
j	3	3.814	1.120	3.926	2.934	0.730
0	-3	-0.901	3.926	1.120	1.026	0.177
0	-1	1.005	2.557	1.567	1.562	0.376
0	0	2.000	2.000	2.000	2.000	0.500
0	1	2.995	1.567	2.557	2.562	0.624
0	3	4.905	1.120	3.926	4.025	0.823

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Fixed Beliefs for Offers; Persistent Types for Evaluation

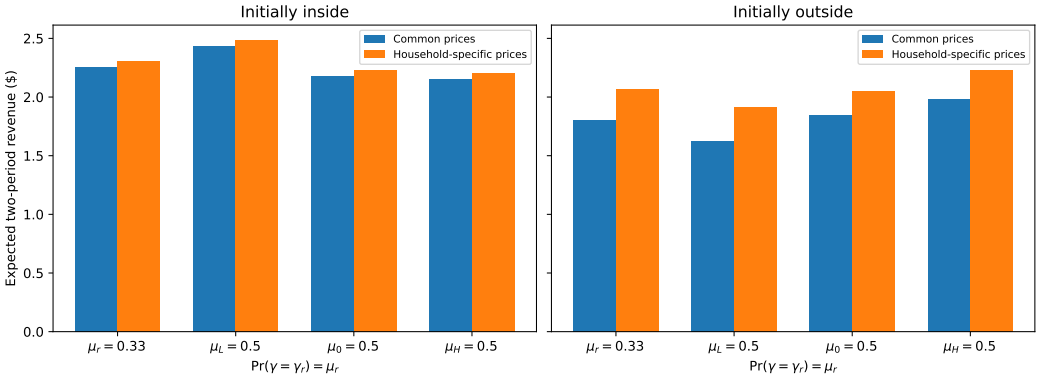
- The hidden-type firm uses μ_r in every state to choose offers; it does not update beliefs after a purchase.
- Real consumers retain their type. First-period choices sort types into histories even when the firm ignores that information.

$$\Pr(j \text{ in both periods}) = \sum_r \mu_r s_{1r} s_{2r}(j), \quad \text{not} \quad \left(\sum_r \mu_r s_{1r}\right)\left(\sum_r \mu_r s_{2r}(j)\right).$$

The firm's fixed-belief optimization objective and realized persistent-type revenue need not coincide. All displayed policy comparisons use the latter.

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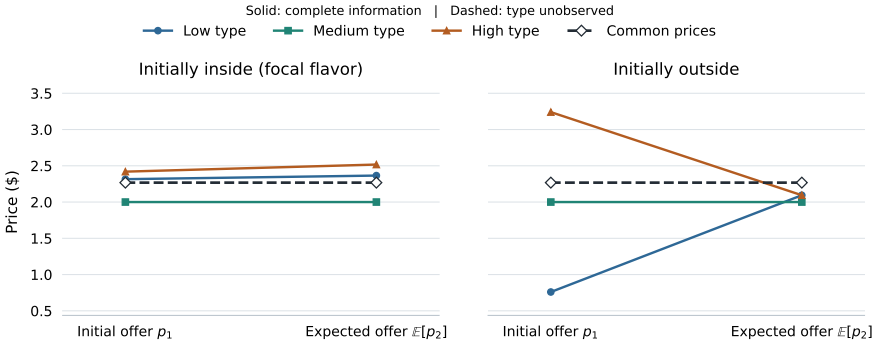
Theory: Revenue Levels under the Same Persistent Types



Full-information optimal revenue versus realized revenue of the fixed-belief common policy.

Back to Theory Comparison

Theory: Type-Specific and Common Offers



Equal type weights; same format as the quantified plain price paths.

Back to Theory Comparison

Exactly What Maps from Demand to Theory?

$$v_t = \beta_f - a p_t + \gamma q(h_t), \qquad a = -E[\alpha_i] = 0.803.$$

Input	November 11 estimate
Plain intercept $\beta_0 + \beta_{\text{plain}}$	0.699
Berry intercept $\beta_0 + \beta_{\text{berry}}$	0.403
Other intercept β_0	0.693
Mean novelty μ_γ	-0.358
SD novelty σ_γ	1.131

Same gamma distribution and mean price sensitivity across flavors. Habit is fixed at zero-stock reference; outside utility is normalized to zero. Only the firm's information about gamma differs between regimes.

Back to Quantified Theory

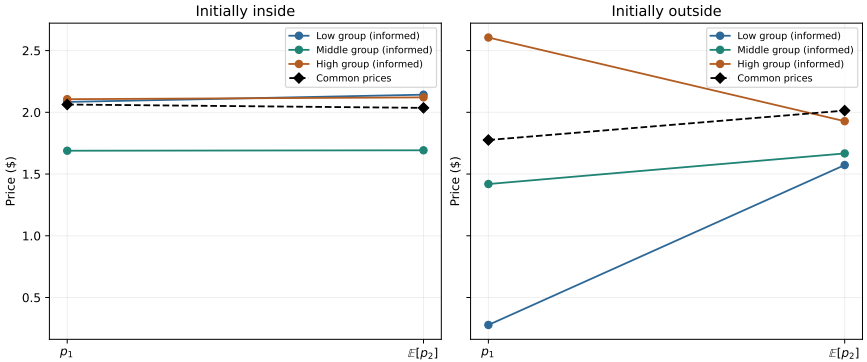
Distribution Weights in the Pricing Comparison

- Baseline: the estimated normal gamma distribution, represented by nine quadrature nodes.
- Low, middle and high display groups use the fitted normal's quartile cutoffs.
- Sensitivity scenarios assign the favored group probability $1/2$ and each other group $1/4$.
- Within each group, preserve relative node weights. Keep these beliefs fixed after either purchase outcome.

Baseline weights come from the fitted distribution. Low-, middle- and high-heavy weights are alternative scenarios.

Back to Information Gains

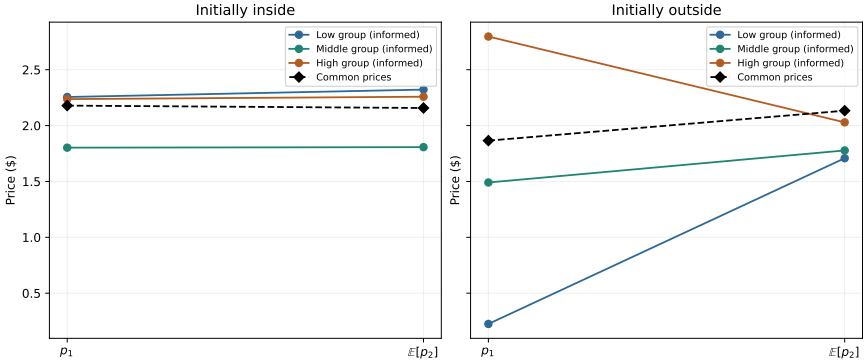
Berry: Informed and Common Price Paths



Berry versus not berry. Fitted-distribution baseline; solid paths average informed prices within novelty groups.

▸ Back to Plain Price Paths

Other Flavor: Informed and Common Price Paths



Other versus plain, berry or nonpurchase. Fitted-distribution baseline; "other" is the residual flavor category.

▸ Back to Plain Price Paths

Informed versus Common Revenue: All Three Flavors

Focal flavor	Initial history	Informed	Common	Gain
Plain	Inside	1.6639	1.6059	0.0581
Plain	Outside	1.0993	0.9774	0.1219
Berry	Inside	1.3968	1.3511	0.0456
Berry	Outside	0.8991	0.8106	0.0886
Other	Inside	1.6583	1.6005	0.0578
Other	Outside	1.0950	0.9739	0.1212

Fitted-distribution baseline. Dollars per model consumer over two periods. Inside/outside is relative to each focal flavor; the two policies use the same persistent types.

Back to Plain Revenues

Next Steps

- Add firm learning to supply side.
- Extend market structure on supply.
- Add more product attributes to empirical estimation.
- Estimate unobserved quality in BLP fashion.

Back to Conclusion

Simulated Household Likelihood

Standard normal draws generate persistent household coefficients:

$$\nu_i = (\nu_{\gamma i}, \nu_{\phi i}, \nu_{\alpha i}) \sim \mathcal{N}(0, I_3), \qquad \begin{aligned} \gamma_i &= \mu_\gamma + \sigma_\gamma \nu_{\gamma i}, \\ \phi_i &= \mu_\phi + \sigma_\phi \nu_{\phi i}, \\ \alpha_i &= -\exp(\mu_{\log a} + \sigma_{\log a} \nu_{\alpha i}). \end{aligned}$$

$$\begin{aligned} L_i(\theta) &= \int \left[\prod_{t=1}^{T_i} P(y_{it} \mid \nu, \theta) \right] f_{\mathcal{N}}(\nu)\, d\nu, \\ \widehat{L}_i(\theta) &= \frac{1}{R} \sum_{r=1}^{R} \prod_{t=1}^{T_i} P(y_{it} \mid \nu_{ir}, \theta), \qquad R = 128, \\ \widehat{\theta} &= \arg\min_\theta \left[-\sum_{i=1}^{N} \log \widehat{L}_i(\theta) \right]. \end{aligned}$$

- θ: estimated means, standard deviations, and common utility coefficients.
- $f_{\mathcal{N}}$: standard normal density. Each draw gives one household type, held fixed across weeks; average over types after multiplying over weeks.

Back

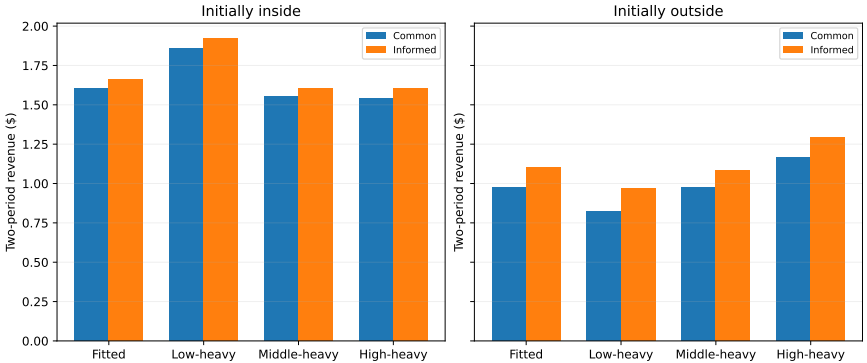
Information Comparison with Restricted Learning

- Informed: the firm observes the consumer's γ.
- Common: the firm knows the distribution of γ and offers one price across types.
- Both observe purchase history and adapt the second price to plain versus not plain.
- Common-price beliefs remain fixed, as in the theory; consumer types persist.

Evaluate both policies on the same consumers over two periods.

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Revenue under the Same Persistent Novelty Types



Expected two-period revenue per model consumer; zero marginal cost. Common prices are history-adaptive, with novelty hidden and fixed beliefs.

Back

Revenue Comparison by Initial History and Prior

Initial state	Distribution	Informed	Common	Gain
j	Fitted distribution	1.6639	1.6059	0.0581
0	Fitted distribution	1.0993	0.9774	0.1219
j	Low more likely	1.9227	1.8603	0.0624
0	Low more likely	0.9671	0.8231	0.1440
j	Middle more likely	1.6051	1.5510	0.0542
0	Middle more likely	1.0803	0.9736	0.1067
j	High more likely	1.6015	1.5435	0.0580
0	High more likely	1.2952	1.1669	0.1283

Dollars per model consumer over two periods. Both regimes adapt second prices to history; only novelty information differs.

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